

COMPENSATION POLICY

AppXcelerate Solutions Pvt Ltd

Effective date: This policy is effective immediately from the date of issuance.

1. Purpose

The purpose of this Compensation Policy is to outline the structure, components, administration, and governance of employee compensation at AppXcelerate Solutions Pvt Ltd. It aims to ensure that all compensation practices are fair, transparent, consistent, and aligned with both industry standards and the organization's objectives. In the event of any conflict between this policy and applicable statutory laws, the statutory provisions shall prevail.

2. Scope

This policy applies to all full-time, part-time, and contractual employees of AppXcelerate Solutions Pvt Ltd, unless stated otherwise in individual employment agreements.

3. Compensation Structure

Compensation at AppXcelerate Solutions Pvt Ltd is designed to be structured, equitable, and aligned with both organizational and individual performance. The total Cost to Company (CTC) may vary based on the employee's role, grade, experience level, location, and business unit requirements, ensuring flexibility to meet diverse operational and strategic needs while minimizing the risk of future disputes or ambiguity.

The compensation structure may include one or more of the following components, as applicable:

1. Fixed Compensation – This includes regular, recurring payments such as basic salary and fixed allowances paid on a monthly basis.
2. Variable Pay / Performance-Based Pay – Linked to individual, team, or company performance as per defined metrics and eligibility criteria.
3. One-Time Payments – These may include joining bonuses, retention bonuses, special incentives, or other non-recurring payments approved by management.
4. Statutory Components – Contributions and deductions mandated by applicable laws, such as Provident Fund, Professional Tax, ESI (if applicable), and other statutory benefits.

4. Fixed Compensation Components

4.1 Basic Pay

- At AppXcelerate Solutions Pvt Ltd, Basic Pay constitutes the primary and most significant fixed component of an employee's salary. The determination and structure of Basic Pay are governed by applicable statutory provisions and labour regulations in India, which may vary across states and are subject to periodic amendments by the respective authorities. Accordingly, the company aligns its salary structure with the relevant statutory framework applicable to the employee's designated work location.
- For employees based in Bangalore, Karnataka, Basic Pay is currently structured at 50% of the employee's Gross Pay, in line with commonly accepted industry practices and internal compensation guidelines, ensuring compliance with minimum wage and PF laws.
- For the purpose of this calculation, Gross Pay includes Basic, HRA, and fixed allowances, and excludes Employer PF and insurance components.
- The adopted structure supports full compliance with applicable labour laws, including regulations related to minimum wages, provident fund contributions, gratuity, and other statutory benefits. It also ensures fairness, parity, and internal equity across roles, designations, grades, and departments within the organization, while remaining competitive within the broader job market.
- Basic Pay is a fixed and guaranteed monthly amount, payable irrespective of the employee's or the organization's performance. It forms the fundamental basis for calculating statutory and long-term benefits such as Provident Fund contributions, Gratuity, Bonus (where applicable), Leave Encashment, and other terminal or recurring benefits as required under law and company policy.

4.2 House Rent Allowance (HRA)

House Rent Allowance (HRA) is a component of an employee's compensation package intended to support rental accommodation expenses. HRA is calculated at 40% of the employee's Basic Salary. Any revision in Basic Salary will automatically impact the HRA amount.

HRA forms an important part of the Cost to Company (CTC) and take-home salary, as it is partially tax-exempt under Section 10(13A) of the Income Tax Act for employees residing in rented accommodation. To claim tax exemption on HRA, employees must submit valid rent receipts, a rental agreement, and the landlord's PAN card for annual rent exceeding ₹1,00,000, in accordance with statutory requirements.

Eligibility Criteria:

- * The employee must be living in rented accommodation (not company-provided housing).
- * All required documentation must be submitted within stipulated timelines.
- * The employee must meet applicable statutory requirements.

The management reserves the right to revise the HRA percentage for specific grades, locations (metro/non-metro), or special assignments based on business requirements and prevailing market conditions. Employees posted in high-cost locations may receive enhanced HRA to offset higher living expenses.

4.3 Special Allowance

- The Special Allowance is a fully taxable part of an employee's salary that helps adjust the total compensation to meet company and market standards.
- It is used to balance pay when other specific allowances do not apply and can include small or miscellaneous allowances that are not listed separately. This allowance gives the company flexibility when designing or revising salary structures.
- It may be updated during salary reviews, restructuring, or when policies or statutory guidelines change.

4.4 Niche Skills Allowance / Skill Premium

- This component is designed to recognize and reward the specialized expertise that our employees bring to the organization and that significantly contributes to our projects, clients, and overall business success.

Eligibility Criteria

- Employees become eligible for the Niche Skills Allowance upon completion of two (2) years of continuous service with the organization.
- Employees completing two years during an ongoing quarter will receive the allowance on a pro-rata basis, based on the eligible period within the same quarter.
- Must have joined AppXcelerate Solutions Pvt. Ltd. as a Fresher

Payment Guidelines

- The Niche Skills Allowance is paid on a quarterly basis. The amount may vary across roles, technologies, and business requirements, based on organizational priorities and project demand.
- Employees who have resigned or are serving their notice period during a given quarter are not eligible for the payout for that quarter.

5. Variable Pay

The Variable Pay is applicable to employees whose compensation structure includes a pre-defined variable pay percentage as stated in their offer or appointment letter. The variable pay is performance-linked, evaluated on the basis of individual performance, including achievement of KRAs, KPIs, and behavioral alignment. The assessment and payout shall take place on a half-yearly basis, covering April to September (paid in October) and October to March (paid in April), and the final payout amount will be determined based on performance ratings, period served, and management approval. Employees must be on the active payroll at the time of payout, meet the minimum performance threshold, and must not be under a Performance Improvement Plan (PIP), disciplinary action, or notice period unless otherwise

approved by management. The payout shall be calculated on a pro-rata basis in cases of partial service due to joining date, unpaid leave, or role transition, and no variable pay shall be payable post the employee's last working day. The Company reserves full rights to amend, defer, revise, or withdraw this policy or payout structure based on business requirements, and all decisions related to the variable pay shall be final and binding.

6. One-Time Payments

6.1 Joining Bonus

At AppXcelerate, we are committed to attracting and welcoming exceptional talent who can contribute meaningfully to our organization's growth and success. In certain cases, based on specific business, project, or role requirements, the company may offer a Joining Bonus as a one-time benefit to support an employee's transition into the organization.

This initiative reflects our intent to remain competitive in the market while recognizing and valuing specialized skills and experience.

Note: The Joining Bonus is offered selectively and is not a standard component of all employment offers. Its applicability is determined by business needs, role criticality, market conditions, and the candidate's profile.

Purpose of the Joining Bonus

The Joining Bonus may be offered to:

- Compensate for notice period buyout or other transition-related expenses
- Support relocation or role-change requirements
- Attract niche-skilled or high-demand talent
- Strengthen key teams and priority projects
- This benefit is provided as a one-time payment in appreciation of the expertise and value an employee brings to the organization.
- This shall be payable upon successful completion of 3 months in AppX.

Eligibility & Commitment

Employees who are offered a Joining Bonus are expected to remain with AppXcelerate for a minimum period of twelve (12) months from their date of joining. This represents a mutual commitment to stability, collaboration, and long-term contribution.

Recovery Clause

- In the event the Employee resigns from employment or the employment is terminated by the Company, for any reason whatsoever, prior to the completion of twelve (12) months of continuous service, the Employee shall be required to refund the entire amount of the Joining Bonus to the Company
- The recoverable amount may be adjusted against the employee's Final Settlement. Any remaining balance must be paid on or before the last working day. In the event of non-payment, the organization reserves the right to initiate appropriate recovery proceedings in accordance with applicable laws and internal policies.

6.2 Retention Bonus

Purpose:

The Retention Bonus is designed to encourage employees to remain with the organization for a specified period and to reward loyalty and performance. This bonus is offered selectively and is not a standard component of all employment offers. Its applicability is determined by business needs, role criticality, market conditions, and the candidate's profile.

Payment Terms:

- The Retention Bonus will be paid after the employee completes 12 months of continuous service with the organization.

Repayment Terms:

- In the event the Employee resigns from employment or the employment is terminated by the Company, for any reason whatsoever, prior to the completion of twelve (12) months of continuous service, the Employee shall be required to refund the entire amount of the Retention Bonus to the Company.
- Repayment should be made on or before the employee's final working day, unless otherwise agreed in writing by the organization.
- The organization reserves the right to deduct any outstanding bonus amount from final settlements, subject to applicable laws.

Additional Notes:

- The Retention Bonus is separate from regular salary, incentives, or other benefits.
- Eligibility and payment of the Retention Bonus do not constitute a contractual obligation for future bonuses.
- Any disputes regarding the bonus or repayment will be handled in accordance with the organization's standard HR policies

Further, any one-time payment made in the form of a bonus — excluding the joining bonus and retention bonus (such as an annual bonus or any special discretionary bonus) — shall be fully recoverable in the event of termination of employment, for any reason, whether employee-initiated or company-initiated (with or without cause), prior to the completion of twelve (12) months of continuous service from the date of receipt of such bonus. Such payments shall also be subject to recovery in cases of fraud, misconduct, or failure to meet contractual obligations, as determined by management and in accordance with applicable laws.

The employee expressly authorizes the Company to recover and/or deduct any such recoverable amounts from salary, incentives, reimbursements, benefits, or the Full and Final settlement payable to the employee, without requiring any further consent. In the event that such amounts cannot be fully recovered through the above means, the employee shall remain liable to repay the outstanding balance to the Company within the timeline communicated by the HR or Finance department.

Other Salary Components

Salary Advance

The AppX Salary Advance Policy outlines the guidelines under which employees of AppXcelerate Solutions Pvt. Ltd. may request a salary advance to support genuine financial needs such as relocation, health (self and immediate family), children's education, marriage (self and immediate family), or court-related expenses. The policy is applicable only to permanent employees who have completed a minimum of six months of continuous full-time service and who do not have any outstanding salary advance; employees on contract or serving notice period are not eligible. The advance amount shall not exceed 40% of the employee's CTC or ₹2,00,000, whichever is lower, and may be availed only once in a twelve-month period. Employees must submit a written request to HR stating the reason for the advance, which will be subject to approval by HR, Finance, and senior management, at their discretion. The approved advance shall be recovered in a maximum of six, nine, or twelve equal monthly instalments, starting from the subsequent payroll cycle, with deductions made directly from salary; for early repayment, the employee must notify HR and the Finance department on or before the 15th of the respective month. No interest shall be charged on the salary advance, and all applicable tax regulations shall be complied with. In exceptional cases of extreme financial hardship, management may approve a higher amount or extended repayment terms on a case-by-case basis, with such exceptions duly documented and approved by the HR department, whose decision shall be final. All salary advance requests shall be handled with strict confidentiality, and this policy shall be periodically reviewed and may be amended at the company's discretion.

6.3 Reimbursements (If Applicable)

Expenses incurred by employees in the course of performing their job duties may be eligible for reimbursement, subject to the following guidelines:

- Eligibility:
 - Reimbursement is only applicable for expenses directly related to business needs.
 - Personal expenses, or expenses not approved in advance, will not be reimbursed.
- Manager Approval:
 - All expense claims require prior approval from the employee's manager.
 - Expenses submitted without proper manager authorization will be rejected.
- Types of Reimbursable Expenses:
 - Travel expenses (airfare, train, taxi, rideshare, mileage for personal vehicles used for business)
 - Accommodation and lodging for business trips
 - Meals and entertainment for client meetings or business-related events
 - Office supplies and materials necessary for performing job duties
 - Other pre-approved business expenses

- Documentation Requirements:
 - Original receipts or invoices must be submitted for all expenses.
 - A brief description of the purpose of the expense should be provided.
 - Expense reports must be submitted within a specified time frame (e.g., 30 days from the date of the expense).
- Non-Reimbursable Expenses:
 - Personal travel or entertainment unrelated to business activities
 - Fines, penalties, or traffic violations
 - Expenses without proper documentation or manager approval
- Reimbursement Process:
 - Submit an expense report with all supporting documents in GreytHR
 - Manager reviews and approves the expenses.
 - Once approved, the finance department processes reimbursement, usually within X business days.
- Policy Compliance:
 - Employees are expected to comply with this policy fully.
 - Misuse or falsification of expenses may result in disciplinary action.

7. Statutory Components Applicable in Karnataka

7.1 Provident Fund (PF)

Provident Fund (PF) is a retirement benefit scheme for employees, where both the employer and the employee contribute a fixed portion of the employee's salary to a fund that grows over time with interest. It is a mandatory benefit in many countries, including India, under the Employees' Provident Fund and Miscellaneous Provisions Act, 1952.

Key Points:

- Purpose: PF is meant to provide financial security to employees after retirement, during unemployment, or in case of emergencies.
- Eligibility: Typically, applicable to salaried employees earning a basic salary and allowances as defined under PF rules.
- Contribution: Both employer and employee contribute a fixed amount or percentage of the employee's basic salary to the PF account.
- Interest: The PF balance earns interest, which is compounded annually.
- Withdrawal: Employees may withdraw their Provident Fund (PF) amount upon retirement or resignation, or for specific purposes such as medical emergencies, housing, or education, in accordance with the prescribed Provident Fund withdrawal rules
- At AppX both employer and employee contributes Rs 1800 each month towards PF.

7.2 Professional Tax (PT) – Karnataka

Karnataka levies PT based on monthly salary slabs. (Current format has been stable for years):

Monthly Gross Salary PT Payable

Up to ₹14,999	NIL
₹15,000 & above	₹200 / month

PT is deducted monthly and remitted to the Karnataka state government.

7.3 Gratuity

- Applicable after completing 5 years of service.
- Calculated as per the Payment of Gratuity Act.
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8. Payroll and Salary Disbursement

- Salary will be disbursed monthly, typically on or before 7th of every month.
- Payslips will be made available digitally.
- All statutory deductions will be made as per applicable laws.
- Any arrears or corrections will be adjusted in subsequent payroll cycles.

9. Annual Compensation Review

- Conducted once a year based on individual and company performance, inflation factors, Karnataka market benchmarks, and business conditions.
- Changes may include adjustments to Basic, HRA, Special Allowance, Skill Allowance, and CTC.

Note:

The policy may be amended to comply with new Karnataka labour laws or internal business needs.